



BANKING & FINANCE

(145)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (12 @ 2 points each) _____ (24 points)

Job 1: Rate of Return (5 @ 2 points each) _____ (10 points)

Job 2: Loan Amortization (23 @ 1 point each) _____ (23 points)

Job 3: Mutual Funds (8 @ 2 points each) _____ (16 points)

TOTAL POINTS _____ (***123 points***)

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals unless otherwise indicated
- Assume employees earn overtime for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$100,000 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

MULTIPLE CHOICE
(2 points each = 50 points)

1	C	16	B	
2	C	17	A	
3	A	18	C	
4	B	19	D	
5	B	20	C	
6	C	21	A	
7	D	22	B	
8	C	23	D	
9	D	24	B	
10	A	25	C	
11	C			
12	A			
13	B			
14	A			
15	B			

Short Answer (10 @ 2 points=20 points)

- 1. A. 4 B. 1 C. 2 D. 3 E. 5**
- 2. A. \$1,061.68 B. \$61.68**
- 3. \$47,713.86**
- 4. \$1,130.40**
- 5. A. 2.44% B. 6.27%**
- 6. 10.77%**

Job 1: Real Estate Rate of Return (2 points each blank--10 points)

			ANNUAL EXPENSES		
	Cash Investment	Monthly Rental Income	Interest on Mortgage	Other	Rate of Return
1.	\$23,000	\$600	\$2,800	\$2,100	10.00%
2.	\$35,000	\$800	\$1,800	\$3,100	13.43%
3.	\$41,000	\$1,600	\$10,200	\$9,800	-1.95%
4.	\$13,000	\$400	\$2,100	\$1,550	8.85%
5.	\$33,000	\$700	\$2,500	\$2,050	11.67%

Job 2: Loan Amortization (1 point each blank--23 points)

Grader: Differences in rounding may result in answers being off by a cent. Please count as correct.

	Month	Loan Payment	Interest	Principal	Loan Balance
					\$17,500.00
1.	1	\$334.27	\$80.21	\$254.06	\$17,245.94
2.	2	\$334.27	\$79.04	\$255.23	\$16,990.71
3.	3	\$334.27	\$77.87	\$256.40	\$16,734.31
4.	4	\$334.27	\$76.70	\$257.57	\$16,476.74
5.	5	\$334.27	\$75.52	\$258.75	\$16,217.99
6.	6	\$334.27	\$74.33	\$259.94	\$15,958.05

Job 3: Mutual Funds (2 points each blank--16 points)

	MUTUAL FUND	NAV	OFFER PRICE	AMOUNT OF COMMISSION	RATE OF COMMISSION
1.	Cyber Net Fund	18.87	19.26	\$0.39	2.02%
2.	Draper Energy Fund	51.12	53.76	\$2.64	4.91%
3.	Ethan Pacific Fund	88.75	97.00	\$8.25	8.51%
4.	Wu Equity Fund	68.64	71.84	\$3.20	4.45%